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26 💼 Types of budget: बजट के प्रकार

26.1 Revenue versus Capital budget: राजस्व बनाम पूंजीगत बजट

Self-explanatory. See past HDT for the classification.

26.2 💼🚆General budget versus Railway budget (आम बजट बनाम रेलवे बजट)



- 1920-21: **Acworth Committee** recommends separate Railway Budget.
- 1924: **Separation Convention** presented by Govt to separate Railway from General Budget.
- This practice continued even after Independence, first the railway minister would present the Railway budget in parliament, and after a few days finance minister will present General Budget.

NITI Aayog's Bibek Debroy committee recommends its abolition because

- 1) No constitutional requirement (संवैधानिक रूप से यह अनिवार्य नहीं है)
- 2) During Coalition Governments, Rail budget was used for populism, cheap fares which eroded the profitability of Railways. (गठबंधन सरकारों में लोकलुभावन, भारी घाटा)

- 3) during the British time, railway revenue used to be quite large compared to other sources of revenue, but after independence, Railway revenue is quite small compared to overall General budget- So it does not deserve a special presentation.

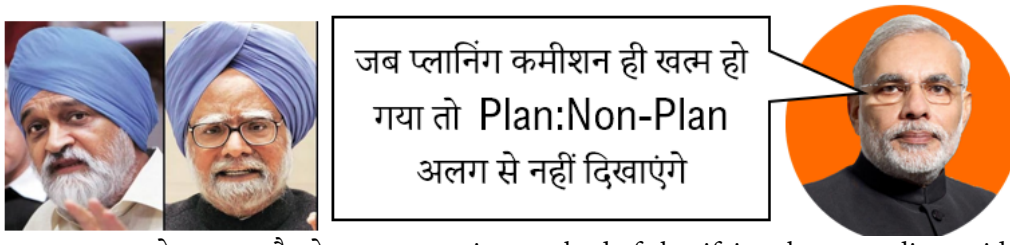
Therefore, Modi govt merged Railway budget with General budget from **2017** (विलीनीकरण).

🔠⁉ ***MCQ. The Railway Budget was separated from General Budget owing to: _ _ _ (EPFO-2023)***

(a) Distributive Convention of 1925 *(b) Separation Convention of 1924*

(c) Bifurcation of Estimates of 1924 *(d) Equalising Convention of 1925*

26.3 💼👸 PLAN VS NON PLAN EXPENDITURE BUDGET:



योजना बनाम गैर योजना व्यय बजट: is a method of classifying the expenditure side.

Since Budget-2017, Modi govt **stopped** the practice of displaying the plan and non plan expenditure separately because (1) No such constitutional requirement (2) Government had dissolved the planning commission in 2014-15 (3) 12th Five Year Plan (FYP:2012-17) was ending in 2017 anyways.

(More about PC & FYP in 📄Pillar#4C)

26.4 💼🖋 BUDGETING TYPES (बजट निर्माण की प्रक्रिया/ रणनीति)

It is the process / strategy with which the budget is created.

🖋**Traditional / Line-item Budgeting**	पारंपरिक / लाइन-आइटम बजट: Simply calculating the income and expenditure without measuring the underlying benefit or performance - Allot ₹ 10,000/- to buy a new bed in government hospital - Allot ₹ 50,000 to buy a new computer in government department
⏱**Performance budgeting** **प्रदर्शन बजट**	calculating income and expenditure tied with underlying benefit or performance - Allot ₹ 50,000 to buy a new computer with target that it should result in 30% the faster clearance of RTI-applications compared to pen and paper - Such budgeting helps measuring cost:benefit and efficiency.
⭕**Zero based budgeting** **शून्य आधारित बजट**	- In a traditional budgeting, the approach is "automatic and incremental e.g. "*Last year we allotted ₹ 50,000 crore to educational schemes, so this year we should allot 55,000 crores, lest the opposition parties create controversy.*" - Whereas in **Zero Based Budgeting** the budget is viewed as a fresh exercise from zero base. So, each department has to justify its budget demands to finance ministry. E.g. if last year ₹ 50,000 crores given to education schemes but still 60% of class 5 kids cannot read class 2 books, then we'll delete / modify that scheme.
🌞 **Sunset Budgeting**	- In a traditional budgeting, once a scheme is launched it runs perpetually, even after regime change e.g. MNREGA, Mid-day Meal.

सूर्यास्त/ समयसीमा का बजट	- In a **Zero Based Budgeting**, schemes are reviewed every year and then they may get discontinued or continued (with or without modifications). - In Sunset Budgeting, scheme are announced with deadline. e.g. "X" subsidy for a period of two years starting from 1/1/2018. Thus, this scheme will self-destruct after deadline just like the sun will set after the sunset.
Cash vs Accrual Budgeting	- Outdated/Faded technical topic related to Railway Accounts. - I am deleting it from latest handout.

26.5 👜 GENDER BUDGET (लैंगिक बजट)

Gender Budget	👛Budget-2025	👛Budget-2026:
Part-A : 100% going to women e.g. SAMBAL SAMARTHYA etc (Ref: Pillar#6)	> 1.00 lakh cr	~ 1.08 lakh cr
Part-B: at least 30% going to women e.g. School education related schemes (Ref: Pillar#6)	> 3 lakh cr	~ 3.63 lakh cr
Part-C: less than 30% going to women. e.g. PM-KISAN (₹ 6k to farmers), India-AI mission, etc	>16,000 cr	~30,000 cr
Total	> 4 lakh cr	~ 5 lakh cr

Not required in Constitution / any law. But within general budget, this data presented since 2005.

26.5.1 👜 Gender Budget- 3 parts instead of two parts since 👛Budget-2024-July:

BEFORE	*After 👛Budget-2024-July:*
2 parts: • PART-A (100% goes to women) • PART-B (min. 30% goes to women)	3 parts- refer to previous table. Critiques allege this 3-part system is for data-dressing to paint a rosy picture.

26.6 💼🖋️📁TRIBAL SUB PLAN & SCSP

From 70s, Govt required individual ministries to earmark funds for SC/ST within their overall funds:

A. **"Scheduled Castes Sub-Plan (SCSP:** अनुसूचित जाति उप-योजना)" → Social Justice Ministry monitors via **e-utthaan**.gov.in

B. **"Tribal Sub plan (TSP:** आदिवासी उप योजना)" → Tribal Affairs Ministry monitors via stcmis.gov.in which is not a fancy name so we need not memorize unlike e-utthaan.

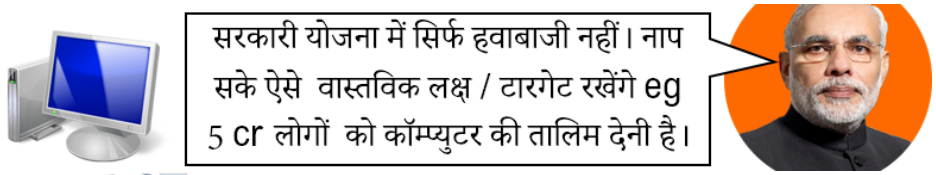
Sidenote: Although not required by the Constitution, but Government also tables separate documents showing 1) allocation for **children** 2) allocation for **NORTH EASTERN** AREAs.

26.7 💼🖋️📊 SCHEME MONITORING / IMPROVING EFFECTIVENESS OF SCHEMES

26.7.1 💼🖋️📊Output Outcome Framework for Schemes: (योजनाओं के लिए उत्पादन परिणाम ढाँचा)

Started from Budget-2017 onwards, the FinMin uploads a document showing outlay output and outcomes for each ministry and department. These are monitored by NITI Aayog. For example,

Ministry & Scheme	*Outlay*	*Output (Deliverables)*	*Outcome*
MEITY → Pradhan Mantri Gramin Digital Saksharta Abhiyan (PMGDISHA)	₹ 400 crores	Give computer training to 5 crore persons in rural area	Increased number of digitally literate persons in rural areas



26.7.2 Govt Schemes: Result Based Financing instead of input based financing

INPUT-BASED FINANCING	RESULT-BASED FINANCING
⇒ Government will pay money for purchase of inputs. ⇒ Then officials/contractor will built road/college, provide skill training etc.	⇒ Govt will define results e.g. daily 15km road constructed, minimum 80% of skill trainees must get job placement etc. ⇒ if result not achieved then govt may not pay full amount / cut penalty.

Budget-2023: for selected government schemes, we'll shift from 'input-based financing' to 'result-based financing'. (कुछ चुनिंदा सरकारी योजनाओं के लिए, हम 'इनपुट-आधारित वित्तपोषण' की जगह, 'परिणाम-आधारित वित्तपोषण' का अमल करेंगे. यानि की सरकार द्वारा तय परिणाम/सूचकांकों को ठेकेदार/अफसर हांसिल नहीं कर पाया तो पैसा नहीं मिलेगा)

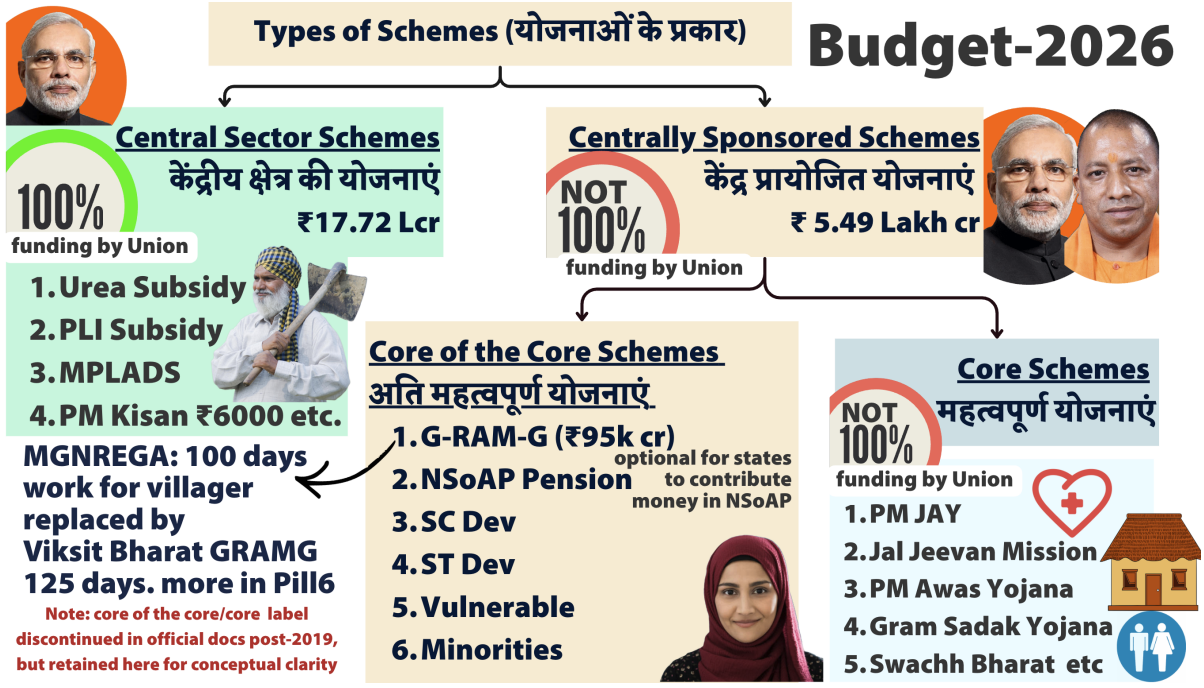
26.7.3 Cash vs Accrual Budgeting: नगदी बनाम उपचय बजट

Outdated/Faded technical topic. I am deleting it from latest handout.

26.8 Type of Funds based on expiry date- Lapsable vs Non

Aspect	Lapsable Funds (व्यपगत निधि)	Non-Lapsable Funds (बिनव्यपगत निधि)
Validity	Expire on 31 March (Rule of Lapse)	Do not expire → carry forward without fresh approval
Unspent Money	Returned to Consolidated Fund; fresh Appropriation Bill needed next year	Remains available for future use
March Rush	Yes –	No rush but opposite happens- dept becomes lazy in spending it.
Examples	Normal budget grants to individual ministries, via Appropriation Act	i) **Nirbhaya Fund** (Dept of Economic Affairs → women safety projects, formed Budget 2013 after Dec-2012 Delhi gangrape) ii) **MFDIS (Modernisation Fund for Defence and Internal Security,** by 15th FC for 2021–26.
Criticism / Issue	March Rush: Hasty/reckless spending in Jan–Mar to avoid lapse.	Lax utilisation – funds often remain unspent Nirbhaya Fund: By 2018 ~₹3000 cr allocated but <50% utilised

26.9 Types of schemes : Central Sector vs CSS



⇒ For any **Union Territory without Legislature**: 100% funding by Union for any scheme in any category. ✋We will look at the schemes' features in the respective pillars.

⇒ Note: nowadays govt quietly stopped using this phrase 'core of the core vs core schemes' in the official budget documents.

26.9.1 👜 Budget-2022: CSS rationalisation from 130 to 65 schemes!

- Stopped schemes: National Dairy Plan-II, National Dairy Plan etc
- Merged Schemes e.g. Women-Child Ministry — 19 schemes → now 3 (Mission Shakti, Mission Vatsalya, Saksham Anganwadi & POSHAN 2.0) (More in Pillar#6)

26.9.2 Ministry/sector-wise Highest Allocation (amt in ₹ crore) in Budget-2026

# Rank & Sector	₹ cr	# Rank & Sector	₹ cr	# Rank & Sector	₹ cr
1 Transport	5,98,520	7 Energy	1,09,029	13 Scientific	55,756
2 Defence	5,94,585	8 Health	1,04,599	14 Tax Admin	45,500
3 Rural Dev	2,73,108	9 Urban Dev	85,522	15 Ext Affairs	22,119
4 Home Affairs	2,55,234	10 IT & Telecom	74,560	16 Finance	20,649
5 Agriculture	1,62,671	11 Commerce & Ind	70,296	17 North East	6,812
6 Education	1,39,289	12 Social Welfare	62,362		

26.9.3 ✍ Mains Questions

Mostly centred around the – Challenges in public finance, how to curb black money, features of GST, problems in GST, significance of disinvestment, how to reduce subsidy burden, how to control fiscal deficit, how to increase the impact of government schemes etc. Covered separately in Mains Course.

Next Handout: Pillar3A: Balance of Payment